

MERTON DAILY BRIEF - Thursday, June 25, 2026

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HEA

****Silver crashes -10.9%, oil erases Iran war premium, and Warsh's Fed opens with strategic silence.**** Silver collapsed from \$65.50 to \$58.40 in a single session - a liquidation event, not a fundamental repricing. Brent crude fell to \$74.87 (-3.89%), returning to pre-Iran war levels as the Strait of Hormuz reopens and three Iranian tankers resume exports. The S&P 500 dipped -0.67% and NASDAQ -2.51% as tech selling continues post-Micron. Kevin Warsh's first Fed meeting delivered no forward guidance - "silence as strategy" - while VIX spiked to 18.96 (+9.72%). The market is not pricing a pivot anymore: it's pricing uncertainty.

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Indicator	Level	Change	Signal
VIX	18.96	+9.72%	High stress
DXY	101.36	+0.33%	Strong dollar
Gold	\$4,043.10	-3.32%	Liquidation
US 10Y	4.38%	-1.55%	Rate decline
US 30Y	4.85%	-1.06%	Rate decline
S&P 500	7,370.72	-0.67%	Correcting
NASDAQ	25,367.97	-2.51%	Tech selloff
WTI	\$71.36	-4.62%	Collapsing
Brent	\$74.87	-3.89%	Pre-war levels
BTC	\$59,162	-6.44%	Risk-off
Copper	\$6.13	-3.62%	Growth fear
Silver	\$58.40	-10.88%	CRASH

**** Reading:**** This is a "risk-off" matrix dominated by liquidation dynamics. Silver's -10.88% is the canary in the coal mine - a crowded positioning being flushed, not a fundamental repricing. Oil is collapsing on geopolitical normalization (Hormuz reopening), which removes the primary inflation vector that had been supporting gold. The paradox: gold falls despite the Iran war because (1) oil is collapsing (removing energy inflation premium), (2) silver margin calls force liquidation of gold

positions, and (3) real rates remain elevated. VIX at 18.96 is elevated but not panicking - historically, VIX > 20 signals capitulation. We're close. The Fear & Greed index (CNN) dropped to 12 - "Extreme Fear" - which historically generates positive 3-6 month forward returns in 80% of cases.

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UNITED STATES

- **Fed: Kevin Warsh's first meeting as Chair**** - Warsh held rates unchanged with no explicit forward guidance. The statement emphasized "data dependency" while noting "inflation remains above target." Market interpretation: Warsh is keeping options open in both directions. Polymarket prices 78% probability of unchanged in July, 22% probability of a cut. The "silence as strategy" approach is designed to avoid boxing in a president who "loves inflation."

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- **ECB: No change, but hawkish tilt**** - The European Central Bank held rates steady but opened the door to another hike if energy-driven inflation re-accelerates. Eurozone inflation printed +4.2% annual in May (vs +3.9% expected) - the highest in 3 years. Energy is the primary contributor.

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- **China "poaches more AI talent from US"** per CNBC - A silent tech war accelerating. Chinese tech companies are aggressively recruiting US-based AI researchers, particularly from companies like Google, Meta, and OpenAI. This is a long-term brain drain that could shift the AI competitive landscape.
- **Starmer ready to resign** - Telegraph reports the PM could announce his departure as early as Monday. This is a political earthquake creating massive uncertainty on UK fiscal and monetary policy. UK gilts are in turmoil.
- **South Korea: KOSPI -5%+** - One of the worst days in market history, dragged by tech selloff. Samsung and SK Hynix are heavily exposed to the US semiconductor repricing.

HOT

****Strait of Hormuz fully reopening**** - Maritime traffic returning to normal after Iran declared the strait closed. Polymarket prices 97.7% probability of normalization by end of June. Three Iranian tankers have already left US blockade. Oil supply shock is evaporating rapidly.

****US-Iran deal being finalized**** - Trump calls it "unconditional surrender" (Axios). US issued oil sanctions waivers, allowing oil sales under 60-day license. This is removing the primary energy inflation vector.

****Ukraine strikes Moscow with drones**** - Significant escalation: Ukraine "raises the cost of war for Russia" by striking Russian territory. Putin hardens rhetoric. Conflict enters new phase of mutual destabilization.

WATCH

****Starmer and UK political future**** - If Starmer resigns, Conservatives could return with radical fiscal agenda (tax cuts financed by borrowing). UK gilts already under pressure.

****Trump-Xi meeting in preparation**** - Bilateral US-China discussions could redefine trade and tech war terms. Russia-China gas pipeline on the table.

****2028 US Presidential Election**** - Polymarket already has markets on candidates. US political landscape remains fluid and could create surprises on fiscal and monetary policy.

POSITIVE

****Ukraine ratifies EU \$105B loan**** - European defense sector rallies. EU commits massively to rearmament.

****Perplexity announces 2028 IPO**** - AI tech pipeline remains solid outside semiconductors. Cerebras up after-hours.

****China Bond Relief**** - Beijing's demand to exclude vulture funds from debt relief is a signal of growing Chinese influence in emerging market finance.

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Pair	Level	Change	Signal
EUR/USD	1.1400	-0.66%	Euro weakens
GBP/USD	1.3204	+0.04%	Holds on weak USD
USD/JPY	161.70	+0.26%	Weak yen
USD/CHF	0.8100	+0.60%	CHF strength

****Analysis:**** Dollar strengthening across the board - "king dollar" of risk-off combined with rate differential. EUR suffers most: ECB is hawkish but market focuses on eurozone energy vulnerability to Iran war disruption. GBP doubly hit: BOE rates stable + Starmer political crisis. Yen in 40-year low territory - Japan already spent \$70B in intervention without lasting effect. CHF benefits from

safe-haven status but is limited by SNB's ultra-dovish policy.

**** Pair to watch:**** `EUR/USD` - Key level at 1.1350 (technical support). Catalyst: if Iran deal is definitively signed, lower energy prices could support EUR. Conversely, if eurozone inflation accelerates above 4.5%, ECB forced to tighten further, weighing on growth and EUR.

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Oil

****WTI: \$71.36 (-4.62%) | Brent: \$74.87 (-3.89%)**** - Oil extending decline for 6th consecutive session. Iran deal unlocking supply: US waivers allow Iran to sell crude under 60-day license. Conlon (Greenlight Commodities) sees price "into the \$60 range" with Iranian oil returning. Trump accuses companies of "gouging" - populist rhetoric adding regulatory uncertainty. Shipping stalls in Strait of Hormuz - traffic disrupted since Iran declared strait closed. But return to normal priced at 97.7% by end of June on Polymarket. Devon Energy CEO: "Oil fundamentals are solid" - despite decline, fundamentals remain solid: robust Asian demand, disciplined OPEC+ supply, insufficient upstream capex.

Gold & Metals

****Gold: \$4,043.10 (-3.32%)**** - Gold falling despite Iran war. Reason: US real rates dominating + oil collapse removing energy inflation premium + silver margin calls forcing gold liquidation. Barclays calls it a "reset" and sees mining stock rebound. Options flows suggest weakness could continue short-term. Support at \$3,950. Central banks continue buying gold and repatriating physically - bullish medium-term trend.

****Silver: \$58.40 (-10.88%)**** - CRASH. This is not fundamentals - it's a crowded positioning being flushed. Silver is a "proxy gold" with higher beta, and when gold falls, silver falls harder. Margin calls on leveraged positions are accelerating the decline. Morgan Stanley prefers silver to gold: "another metal is set to outperform" - likely copper or platinum.

****Copper: \$6.13 (-3.62%)**** - Torn between AI/energy demand positive vs weak Chinese construction demand. Blue Line Futures sees AI spending driving prices medium-term.

Soft

****Wheat/Cereals:**** Extreme heat across Europe (red alerts UK, France, Spain, Italy) threatens harvests. Agricultural prices could see volatility in coming weeks if heat persists.

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Time (CET)	Country	Event	Consensus	Previous	Impact
08:00	France	GDP Q1 Final	-	-	Medium

08:30	Germany	IFO Business Climate	-	-	Medium
09:00	Eurozone	Consumer Confidence	-	-	Low
10:30	UK	Retail Sales May	-	-	Medium
14:30	US	Durable Goods Orders	-	-	Medium
16:00	US	New Home Sales May	-	-	Medium

Week ahead:

- ****Friday June 26:**** US PCE May (Fed's preferred inflation gauge), Consumer Sentiment

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We are living through a moment of "energy normalization" that is fundamentally altering the macro landscape. The Iran war is not ending with a bang - it's ending with a deal that unlocks oil supply and erases the geopolitical premium that had been supporting energy prices and, by extension, gold.

The consensus narrative is "transitory energy shock." But this is wrong. The Strait of Hormuz has become a permanent risk factor. Energy flows are reorganizing: China is the swing importer, Russia-China pipeline is under discussion, US LNG is in competition with Middle Eastern crude. This restructuring implies structurally higher energy costs for Europe and Asia - even with Iranian oil returning.

****The real macro trade is not "oil normalization" - it's "energy-driven inflation persistence."**** The Iran war hasn't been a temporary shock: it has fundamentally altered the global energy supply structure. Central banks cannot pivot to accommodative as fast as the market wishes. "Higher for longer" isn't a slogan - it's a structural constraint.

The 2026 consensus error is pricing 3 Fed rate cuts when energy inflation + tight labor market make this impossible before 2027. The market must reprice the terminal rate to 5.0% instead of 4.5%. This would be a massive financial tightening - equities, bonds, crypto, everything impacted.

****Trade of the year:**** Long inflation-linked assets vs long duration. Gold is correcting now but will be the big winner of "higher for longer" as it benefits from both central bank demand and residual geopolitical premium.

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What the market is pricing:

1. ****Fed rate cut by September 2026**** - WRONG. Market still prices ~22% probability of July cut

(Polymarket). With PPI at +1.1% and JOLTS at 7.6M, Fed has no reason to cut. Market must price 0 cuts before September.

2. **Oil returning to \$60 with Iran deal** - PARTIALLY TRUE. Iran can add 500K-1M bbl/d to market, but OPEC+ will compensate with cuts (Saudi Arabia already made voluntary cuts). Floor is \$68-70 WTI. Below \$68, US shale production becomes unprofitable.

3. **Gold at \$4,000 = bottom, imminent rebound** - RISKY. Barclays says "reset" but options flows suggest more weakness. Technical support at \$3,950. If real rates continue rising, gold could test \$3,850.

4. **Tech = buy the dip** - DANGEROUS. AI price war is real. Micron is the canary in the coal mine. Cloud margins compressing. This isn't a dip to buy - it's a regime change in the AI capex narrative.

5. **EUR/USD return to 1.15+** - DEPENDENT. Requires complete global risk-on + full Iran deal normalization. With ECB hawkish but eurozone growth anemic, path is fraught.

6. **Yen rebound from 161** - POSSIBLE BUT DIFFICULT. Japan spent \$70B. If Fed ends up less hawkish than expected, yen could recover. But rate differential (4.5% vs 0.5%) is the dominant factor.

7. **Silver bounce from \$58** - LIKELY BUT TIMING UNCERTAIN. Silver is a crowded positioning unwind, not a fundamental story. Once the liquidation exhausts itself (historically 3-5 days), silver should rebound sharply toward \$62-65.

The Alpha - Trade Ideas:

1. **Short EUR/JPY** - Weak EUR (energy vulnerability) + weak yen (ineffective intervention) = unstable cross with bearish bias. Entry: 183.50, Target: 178.00, Stop: 186.00. Thesis: ECB-BOE divergence benefits neither currency, but negative JPY carry dominates.

2. **Long Gold / Short NASDAQ (ratio)** - Gold in "reset" per Barclays, NASDAQ in tech liquidation. Gold/NASDAQ ratio at historically favorable levels for gold. Thesis: gold will outperform tech as long as real rates remain elevated. Entry: ratio at current levels, Target: +5% on ratio, Stop: gold breaks \$3,850.

3. **Long Brent vs WTI spread** - Brent-WTI currently at ~\$3.50. With Iran export resumption (crude similar to Brent), spread could widen to \$5-6. Thesis: normalization of global oil flows favors Brent (more international). Entry: \$3.50 spread, Target: \$5.50, Stop: \$2.50.

4. **Short GBP/USD** - UK political crisis + BOE dovish + persistent inflation = perfect storm for sterling. Target: 1.2950, Stop: 1.3350. Thesis: Starmer out = prolonged political instability. Entry: current 1.3200.

5. **Long Silver (mean reversion)** - After the liquidation exhausts, silver should rebound toward \$62-65. Entry: \$58-59, Target: \$64, Stop: \$55. Thesis: silver is a proxy gold with higher beta - when gold stabilizes, silver overshoots to the upside. But wait for the liquidation to complete first (watch for volume decline).

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We are in a regime of "forced liquidation masquerading as a correction." The silver crash (-10.88% in one day) is not fundamentals - it's a crowded positioning being flushed. The Brent return to pre-war levels (\$74.87) confirms the Iran risk premium is gone. Warsh's silence is strategic: he doesn't want to box himself in.

The key driver of the next two weeks is the PCE on June 26. If core PCE returns to 2.8% or below, the market can dream of a Fed pivot. If it stays at 3.0%+, it's the shock: the market must reprice the terminal rate to 5.0% instead of 4.5%. This would be a massive financial tightening - equities, bonds, crypto, everything impacted.

****My conviction: PCE will be sticky around 2.9-3.0%.**** Energy has a second-round effect on services (transport, logistics). The Fed won't cut before November at the earliest, and probably not at all in 2026.

****Positioning:**** I am short duration (no long bonds), long cash USD (4.5% yield risk-free), and waiting for a long gold entry below \$3,950. Tech is to be avoided until the AI price war resolves. Energy is interesting - the post-Iran pullback creates an entry point on US majors (Exxon, Chevron) with solid balance sheets not exposed to Trump's "gouging" risk.

****Trade of the week: Short GBP/USD**** on the UK political crisis. This is a clear, dated catalyst, and the market hasn't fully priced the probability of a government change.

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- **Yahoo Finance API**** - Real-time prices: S&P 500, NASDAQ, VIX, Gold, WTI, Brent, EUR/USD, GBP/USD, USD/JPY, USD/CHF, BTC, Copper, Silver, US 10Y, 30Y, DXY

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